

# June FOMC meeting? a small step closer to clarity

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/western-asset/june-fomc-meeting-a-small-step-closer-to-clarity>

Extraction method: selenium

## June FOMC meeting? a small step closer to clarity

The Federal Open Market Committee (FOMC) again left its policy rate unchanged at 4.25% to 4.50%, as was universally expected by Wall Street. The Committee's statement had few changes since the last FOMC meeting in May and reiterated that while uncertainty about the economy has diminished since April, it remains elevated. The difficulty in assessing the size and impact of upcoming fiscal and tariff policy changes is now heightened by the impact that geopolitical conflicts could have on energy prices.

The Summary of Economic Projections (SEP) also generally matched investor expectations. The FOMC members' rate forecasts—aka the "dot plot"—in total reflect fewer cuts in 2025 and 2026 than previously communicated, though the median dot was unchanged for 2025, and indicate just one cut in 2026. Market-implied pricing shows one to two rate cuts by the end of this year, which mostly has been the case since the May FOMC meeting, and a further two to three cuts next year.

Reflecting the higher effective tariff rate, the median projection shows higher core Personal Consumption Expenditures (PCE) inflation of 3.1% in 2025, lower growth of 1.4% and higher unemployment of 4.5%, which is up a tick from the March forecast. Should these forecasts be met, a trigger of the Sahm Rule would not be threatened. (The Sahm Rule is an economic indicator stating that if the average of the unemployment rate over three months rises a half-percentage point or more above the lowest three-month average over the previous year, then the economy is in a recession.)

Recent inflation trends are encouraging but fragile. Inflation in shelter and other core services continues to slow from the high level of recent years. Although official data has not yet shown widespread increases in goods prices, most at the Federal Reserve (Fed) and in the market still expect these increases to appear in coming months. A potential spike in oil prices due to tensions in the Middle East could also push inflation higher, reversing recent gains.

During the post-meeting press conference, Fed Chair Jerome Powell repeated the FOMC's preference for patience and the expectation for further clarity emerging over time from the impact of tariffs and other factors related to growth and inflation. The higher rate profile in today's SEP relative to year-end 2024 reflects the higher 2025 inflation forecast. Powell said he did not think the Fed needs to respond to any concerns of political interference, nor is it considering the Fed Chair succession process.

The full impact of tariffs on inflation and the economy still won't be seen by the next FOMC meeting at the end of July, so we do not anticipate any policy change at that meeting. However, we do see the interest-rate-sensitive housing and automotive sectors starting to stumble. If inflation increases remain concentrated in imported goods prices and the tentative signs of weakness in the labor market expand, then a rate cut as early as September is possible. Our view is that, in the interim, high-quality fixed-income—particularly with exposure to the intermediate part of the yield curve—continues to offer attractive yields and a compelling risk/return profile.

### WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges. Past performance is no guarantee of future results.

Fixed-income securities involve interest rate, credit, inflation and reinvestment risks; and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

Commodities and currencies contain heightened risk that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

US Treasuries are direct debt obligations issued and backed by the "full faith and credit" of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may

or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

**WF: 5615666**

View more about Western Asset and the strategies they manage.

## **CONTRIBUTORS**

**Frederick R. Marki**

**Portfolio Manager, Western Asset**

## **Related Content**

**Explore Western Asset Insights**

## **RELATED CONTENT**

## **IMPORTANT LEGAL INFORMATION**

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.